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ACCT90002

Financial Statement Analysis

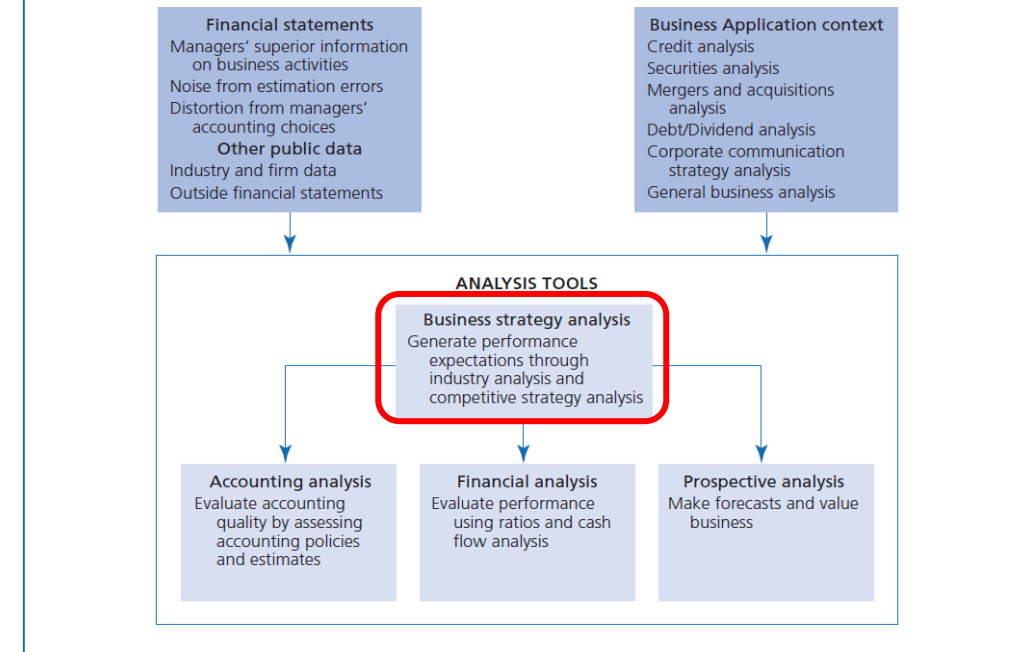
Week 2: Business strategy analysis



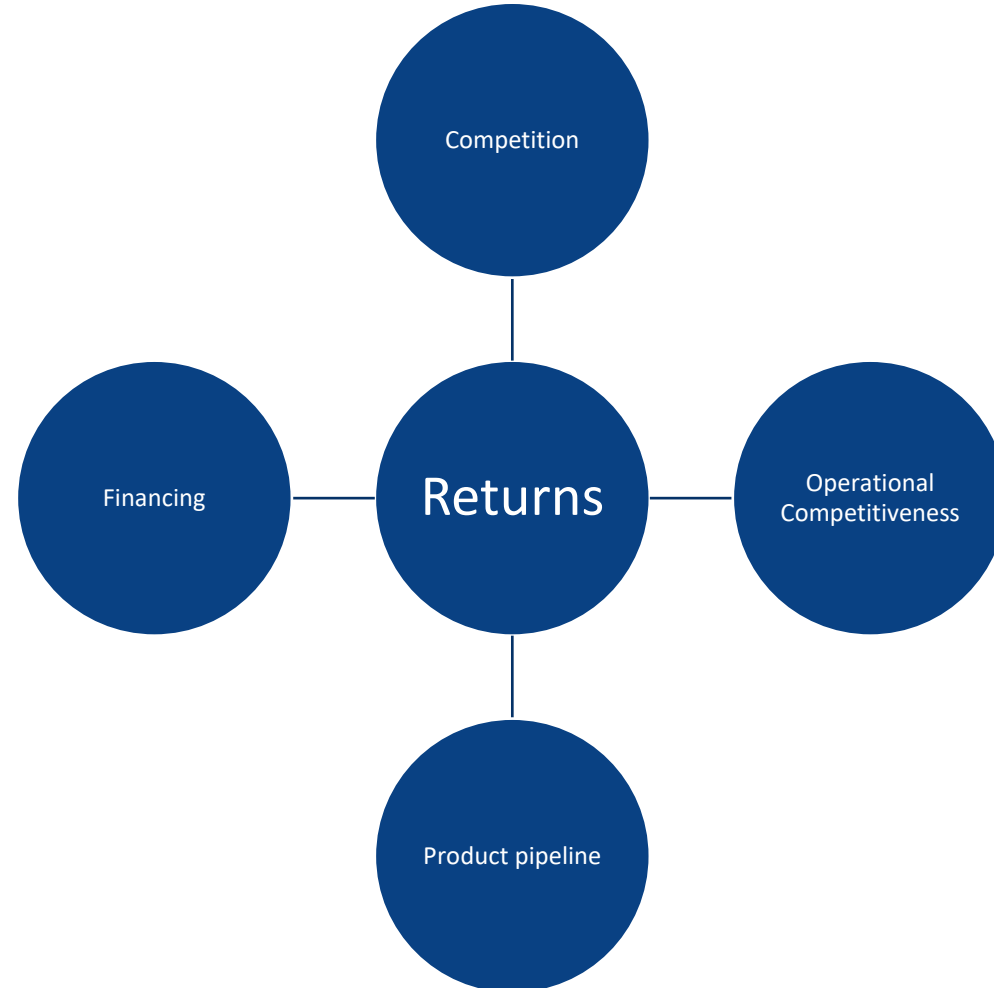
What we know so far...

- Information asymmetry is the key economic problem
 - Address information asymmetry by providing financial information
- FSA is the set of techniques that assists users to gather information that informs real-world decisions (ie. Investment, lending etc)
 - Elements of FSA are quantitative and others qualitative
 - FSA driven by what questions asked
 - FSA should take place within a structured framework

FIGURE 1.3 Analysis using financial statements



Broader concept





Lecture outline

- Understand the importance and differences between industries and strategies
- Understand why industry dynamics can affect corporate performance
- Understand how industry dynamics and strategies are reflected in financial statements
- Understand the effects of competition on financial statements
- Be able to apply these to scenarios



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Business Strategy Analysis



Why business strategy analysis?

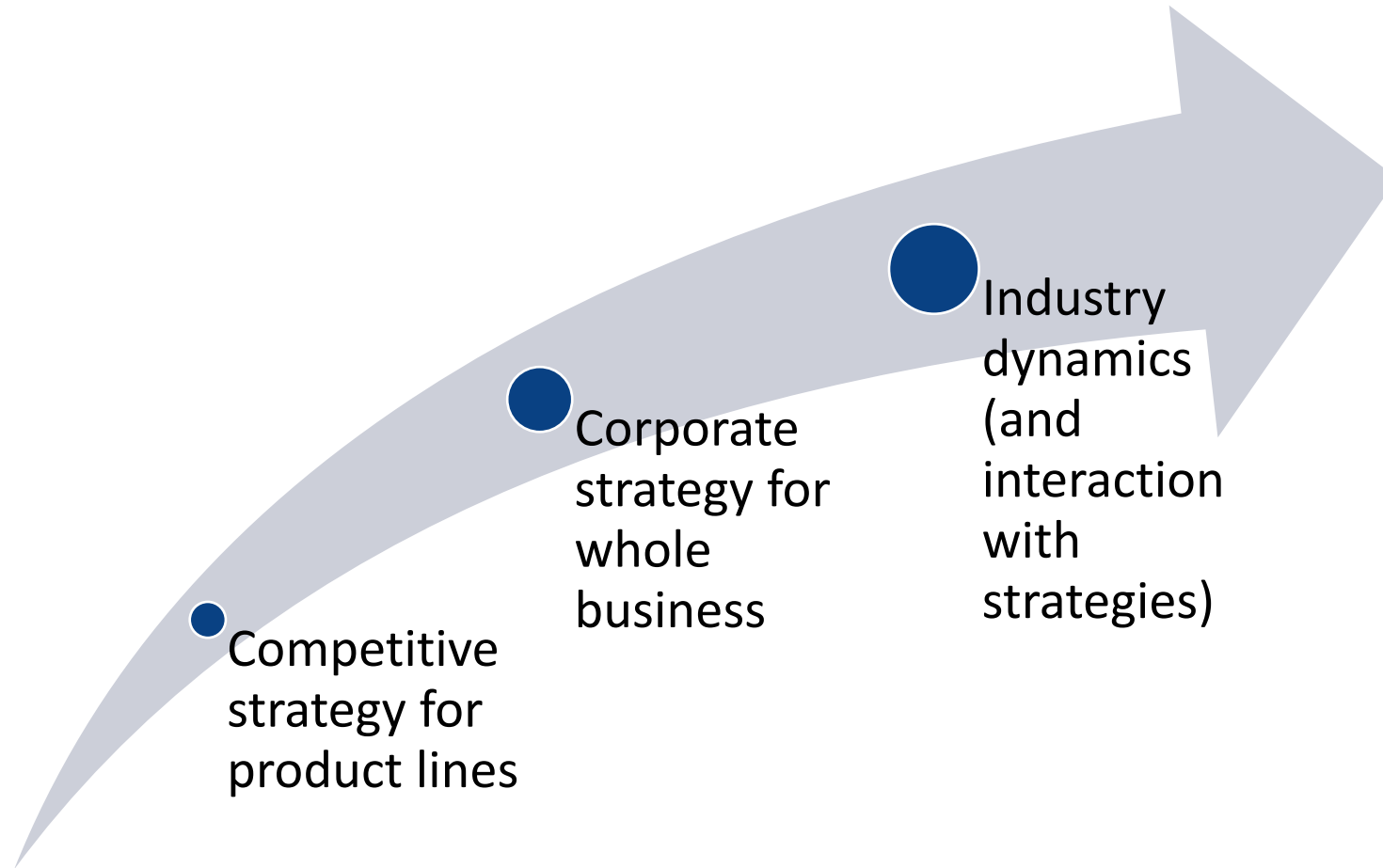
- Any investment (or decision) will add value provided that it **generates returns in excess of those that are required** by the decision maker
- How can we determine (a) the returns likely to be generated; and (b) the return we should require on such an investment or decision?
- A starting point is to better understand the strategy implemented by the business (and then perhaps how likely such a strategy is to be successful)
 - These reflect the commercial realities



Why business strategy analysis?

- Any investment (or decision) will add value provided that it **generates returns in the future in excess of those that are required** by the decision maker
- How can we determine (a) the returns likely to be generated; and (b) the return we should require on such an investment or decision?
- A starting point is to better understand the strategy implemented by the business (and then perhaps how likely such a strategy is to be successful)
 - These reflect the commercial realities

How to approach this?



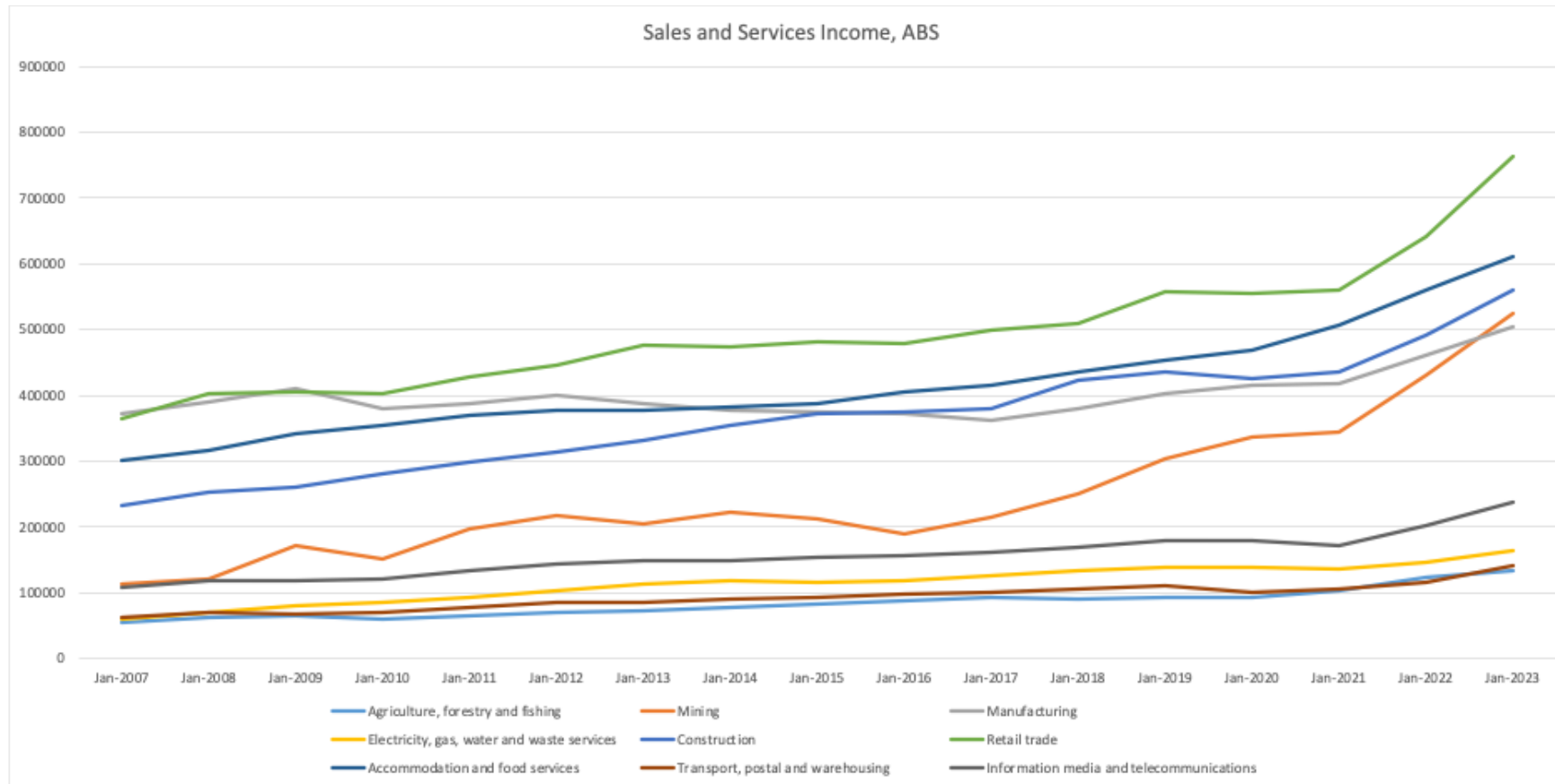
Why business strategy analysis?

- Thing about the factors that contribute to business results related to industry... let's consider two (2)...



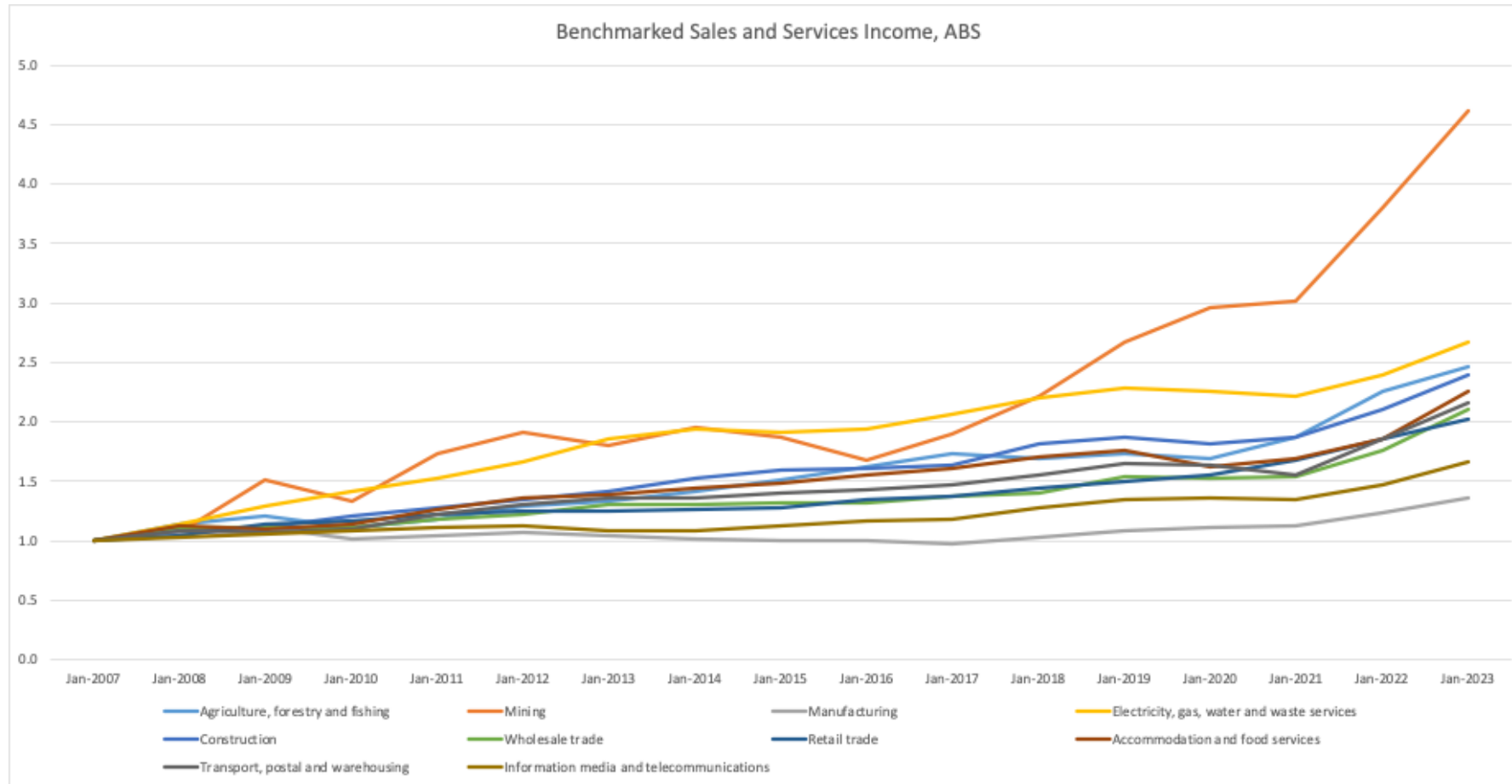
How large is the revenue/profit pie?

- Revenue can differ meaningfully by industry – this measure often referred to as market size...



How large is the revenue/profit pie?

- As can growth rates....





The revenue/profit pie...

- In identify the “industry” can be:
 - More specific: Focus more on like-for-like companies and products. Gives better estimate for current state of business.
 - Less specific: Broader, not necessarily like-for-like. May provide estimates with expansion opportunities
- No perfect approach. Depends on the questions being asked...



How will the revenue/profit be divided?

- Requires an assessment of the competitive strengths and weaknesses of the various players
- Players with better competitive strategies are more likely to be “winners” in an industry
- What kinds of things lend themselves to better competitive strategies? Let’s consider some examples...
 - Meta/Facebook
 - Microsoft
 - Woolworths and Coles

How will the revenue/profit be divided?

- What we need are some frameworks to help us think about the competitive dynamics of an industry, sector or business
- Some effective approaches over time have been to analyse using frameworks such as following:
 - Porter's Five Forces (good for industries)
 - SWOT Analysis (good for an individual company)
 - Economic Moats (later in semester, good for longevity)
- Important as provides a way to better understand the **future return** potential

How will the revenue/profit be divided?

- When is an industry profitable?
 - Selling prices are high
 - Input prices are low
 - Relative few competitors to spread the profit around to
 - Unlikely to change
- Porter's 5 forces focuses on understanding the propensity for an industry to have these characteristics

Porter's 5

- Selling prices are high
- Input prices are low
- Relative few competitors to spread the profit around to
- Unlikely to change

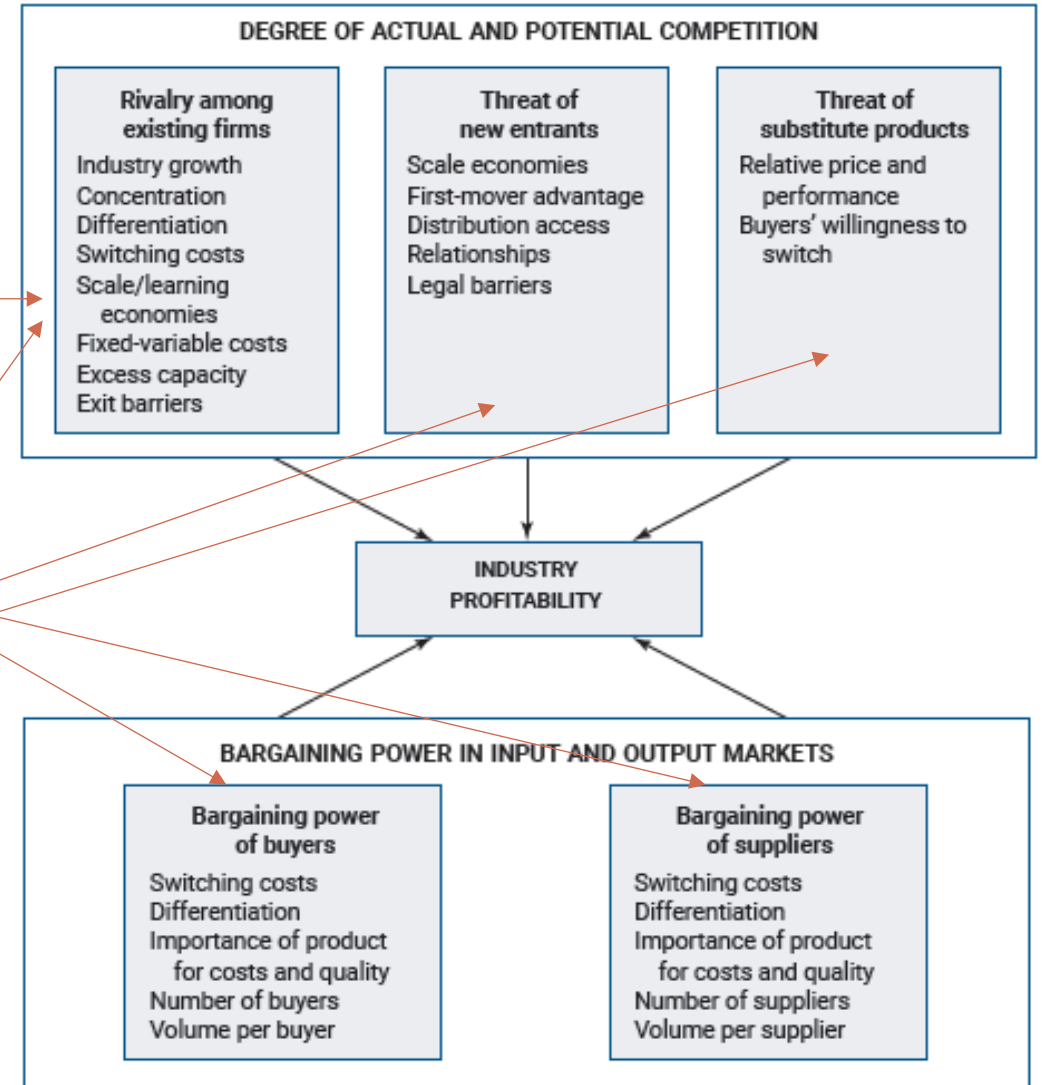


FIGURE 2.2 Industry structure and profitability

Porter's 5

- Pressures related to horizontal competition

- Pressures related to vertical competition

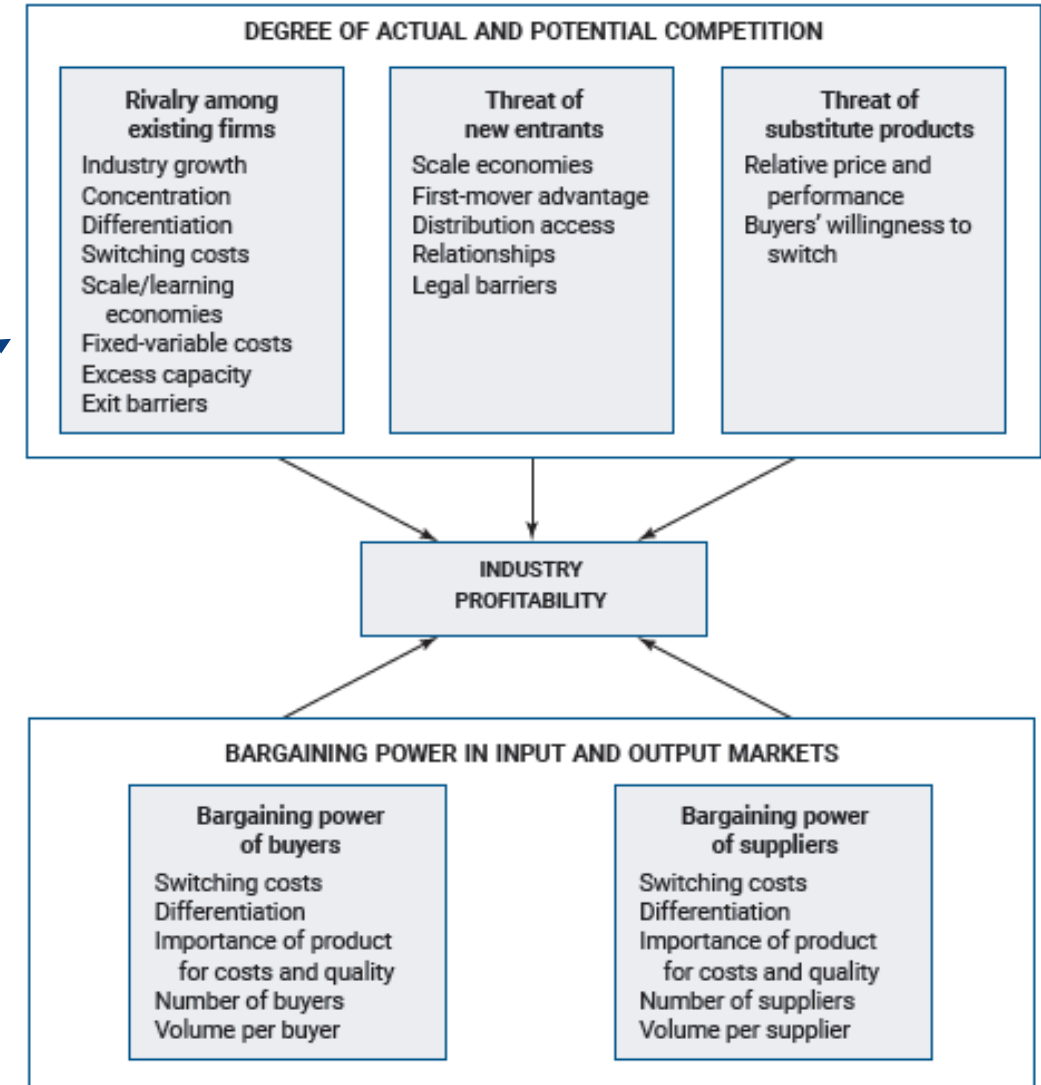


FIGURE 2.2 Industry structure and profitability



Competitive Force 1: Rivalry among existing firms

- How does this rivalry affect industries?
 - Rivalry increases competition
 - Decreases prices goods and services are sold for
 - Increases the value of differentiation to capture market share, which increases costs on those in the industry
- Different factors can have different effects.

Rivalry among existing firms

Industry growth

Concentration

Differentiation

Switching costs

Scale/learning economies

Fixed-variable costs

Excess capacity

Exit barriers



Competitive Force 2: Threat of new entrants

- How do new entrants affect industries?
 - New entrants add competitors
 - They will attempt to capture market share with either new products or lower prices (even at a loss to establish footing)
 - Decreases prices in the market and increases value of differentiation
- Some industries have very little risk of new entrants. Which?

**Threat of
new entrants**

Scale economies
First-mover advantage
Distribution access
Relationships
Legal barriers



Competitive Force 3: Threat of new entrants

- How do new products affect industries?
 - New products decrease the demand for existing products
 - Requires existing competitors to decrease prices or innovate to retain market share
 - Decreases prices in the market and increases value of differentiation
- Similarly, some products have very little risk of this. Which?

**Threat of
substitute products**
Relative price and
performance
Buyers' willingness to
switch



Competitive Force 4: Bargaining power of buyers

- How does the bargaining power of buyers affect the industry?
 - More bargaining power, lower prices (ability to walk away)
- What are switching costs? What are some examples?

Bargaining power of buyers

Switching costs
Differentiation
Importance of product
for costs and quality
Number of buyers
Volume per buyer



Competitive Force 5: Bargaining power of suppliers

- How does the bargaining power of suppliers affect the industry?
 - More bargaining power, high costs to purchase needed inputs
- Suppliers can include labour.
 - What's an example of increasing this bargaining power?
- In this case, switching costs for who?

Bargaining power of suppliers

Switching costs
Differentiation
Importance of product
for costs and quality
Number of suppliers
Volume per supplier

Example: Porters 5 Forces for Netflix

- How would we describe industry growth, and why?
- Concentrated industry or very sparse?
- Differentiation and switching costs?
- Scale? Who leads the industry?
- Fixed or variable costs? Why does this matter?
- Exit barriers? How do players exit the industry?



NETFLIX

Rivalry among
existing firms

Industry growth

Concentration

Differentiation

Switching costs

Scale/learning

economies

Fixed-variable costs

Excess capacity

Exit barriers

Example: Porters 5 Forces for Netflix

- Does scale matter?
- Who was the first mover? Why was it an advantage?
- And distribution issues? How do they get content?
- Any legal barriers?



**Threat of
new entrants**

Scale economies

First-mover advantage

Distribution access

Relationships

Legal barriers

Example: Porters 5 Forces for Netflix

- Is there really a threat of substitutes? If so, who?
- Do customers switch? Are they willing to?
 - What might they do instead of switch?



Threat of
substitute products
Relative price and
performance
Buyers' willingness to
switch

Example: Porters 5 Forces for Netflix

- Similar to previous conversations.
- Are there lots of buyers or very few? Why would this matter here?
- What other arguments are there for Netflix?



Bargaining power of buyers

Switching costs
Differentiation
Importance of product
for costs and quality
Number of buyers
Volume per buyer

Example: Porters 5 Forces for Netflix

- Who are the suppliers in this case?
- How would we describe their bargaining power?
 - What is the nature of the agreements?



Bargaining power of suppliers

Switching costs
Differentiation
Importance of product
for costs and quality
Number of suppliers
Volume per supplier



Competitive strategy

- So having understood the nature of an industry, we then need to consider the way in which a business might choose to compete
- In general, we view this through two possible lenses:
 - **Product differentiation:** supply a good or service that differs in a valuable manner
 - **Cost leadership:** supply same good or service cheaper than competition
- Ultimate aim is to achieve a **sustainable competitive advantage** and increase the portion of the revenue/profit pie that flows to your business

Competitive strategy (product differentiation)

- What investments does a company need to differentiate products or services?
 - R&D
 - Flexible control systems
 - Innovation/New technologies
 - Patents
 - Long-term incentives
 - Brand awareness/quality
- What kinds of differentiation are out there?
 - Service/Product functionality/flexibility/content
 - Service/Product quality
 - Service timing/delivery

Competitive strategy (cost leadership)

- What investments does a company need to excel on cost?
 - (Economies of) scale
 - Production technologies and processes
 - Strong and efficient control systems
 - Cost analysis and reduction
 - Outsourcing non-essential processes
 - Focus



Selecting a strategy

- How should business select a strategy to follow?
 - Core competencies and existing investments (i.e. [what are we good at?](#))
 - Existing industry (i.e. [what isn't already provided?](#))
 - Customer base (i.e. [what does customer want or need? Where are the profits to be made?](#))
 - Management expertise (i.e. [do we know how to deliver on that strategy?](#))
- Successful businesses combine all factors
- Changing strategies requires changing investments and management expertise, which may be difficult or costly.

Example

- Let's take a business with a clearly evident competitive strategy: Apple Inc.
- How might we describe the manner in which they compete?
- What would we expect to see in the financial statements if that were to be true?





Corporate Strategy

- We can also analyse a business from the corporate perspective (rather than product or industry lines)
- May be especially important where companies have products in different markets
- Many approaches to this. Our focus will be on a structured analysis called a SWOT analysis
 - Strengths
 - Weaknesses
 - Opportunities
 - Threats
- Well done analyses are specific, rather than broad. They also consider **why** something may be e.g. a strength, and how that strength can be leveraged.

Example



- Let's continue with our Apple example... ask **what are the** Strengths/Weaknesses/Opportunities/Threats **relative to others?**

Strengths	Weaknesses
Opportunities	Threats

Example



- Let's continue with our Apple example... ask **what are the** Strengths/Weaknesses/Opportunities/Threats **relative to others?**

Strengths - Network of embedded devices across different product lines - Scale of both operations and cash balance to deploy - Trusted and well-known brand name - Software/hardware integration and in-house production	Weaknesses - Hitting limits of technology innovation on existing products - Limited barriers to software and hardware innovation from competition
Opportunities - Expansion into newer markets (services, AI, vehicles) - Expansion into wearables (glasses etc) - Partnership arrangements with designer goods labels - Maximise potential of Apple Silicon to create unique services	Threats - Foldable phones to challenge iPads/iPhones - Tariff impacts on supply chains adding cost to products - AI altering the use case for phones and software



Strategy & Financial Statements

- So how is strategy reflected in financial statements?
- Recall from earlier in our discussion:
 - Strategy impacts the profit captured from markets ([sales](#), [profitability](#))
 - Strategy impacts the required investments made in the company to support the strategy ([assets](#), [expenses](#))
- Ultimately, the strategy implemented will affect the capital needed to be retained to invest in the business to ensure the strategy continues to be successful, affecting [dividends](#), [share repurchases](#) and [returns on invested capital](#)



Strategy & Financial Statements (Financial Services)

- Let's consider two companies in the payments space: American Express and Visa

(note – preliminary discussion here as more will come in later classes)
- What do we know of their competitive strategies?



Strategy & Financial Statements (Financial Services)

- Let's see how that matches up with their financials...

	American Express	Visa
Total Revenue	\$60.7 billion	\$35.6 billion
Revenue Growth	9.3%	10.2%
Return on Assets	3.8%	16.2%
Gross Profit Margin	64.8%	97.8%
Net Profit Margin	16.7%	54.9%
Receivables (%)	74%	8%
Transaction volume	11.4 billion	266.5 billion

- Why does AMEX have more revenue but less profit margin? What's the extra product they sell?

Strategy & Financial Statements (Automotive)

- Let's consider three companies in the payments space: Ferrari, BMW, and Ford



- What do we know of their competitive strategies?



Strategy & Financial Statements (Automotive)

- Let's see how that matches up with their financials...

	Ferrari	BMW	FORD
Total Revenue	EUR 6.7 billion	EUR 148 billion	\$185 billion
Revenue Growth	11.8%	-2.0%	5.0%
Return on Assets	13.4%	3.4%	1.2%
Gross Profit Margin	50.1%	18.0%	8.4%
Net Profit Margin	22.8%	7.3%	3.2%
R&D to Sales	14%	~5.5%	4%

Conclusions

- Strategy analysis is important to understand the competitive position of the company
- The chosen strategy affects the financial position (and performance) of the present
- The competitive position will be reflected in financial statements in the future
- Sustainable competitive advantage is achieved by the alignment of:
 - Competency
 - Benign competition
 - Customer demand
 - Management expertise



At the seminar

- At the seminar next week, we'll discuss this in the context of other businesses and walk through the competitive and industry dynamics prevalent in those.